

Modeling Patent Challenges and Settlements in Pharmaceuticals

Full solved output, by molecule-formulation

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1 Accelerator clause

Table 1: Accelerator clause, Market 1

statistic	accelerator off	accelerator on
K^* (PIV filers)	8	8
$\mathbb{E}[t_s^{\text{FTF}}]$	27.957	27.957
$\mathbb{E}[t_s^{\text{LTF}}]$	30.981	30.981
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	163.551	151.901
$\mathbb{E}[C_{s1}]$	46.554	47.872
$\mathbb{E}[C_{s2}]$	19.434	16.044
$\mathbb{E}[V^B]$	3585.583	3597.788
$\mathbb{E}[V_{\text{FTF}}^G]$	64.081	64.938
$\mathbb{E}[V_{\text{LTF}}^G]$	11.513	9.672
$V_{\text{entry}}^{\text{PIV}}$	13.941	13.383
1st gen entry date (settle)	27.957	27.957
1st gen entry date (litig.)	24.100	24.100

Table 2: Accelerator clause, Market 2

statistic	accelerator off	accelerator on
K^* (PIV filers)	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	27.905	27.905
$\mathbb{E}[t_s^{\text{LTF}}]$	30.886	30.886
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	127.145	117.166
$\mathbb{E}[C_{s1}]$	38.189	39.613
$\mathbb{E}[C_{s2}]$	17.618	14.080
$\mathbb{E}[V^B]$	2613.352	2623.723
$\mathbb{E}[V_{\text{FTF}}^G]$	57.040	58.061
$\mathbb{E}[V_{\text{LTF}}^G]$	17.217	14.882
$V_{\text{entry}}^{\text{PIV}}$	17.079	16.410
1st gen entry date (settle)	27.905	27.905
1st gen entry date (litig.)	24.100	24.100

Table 3: Accelerator clause, Market 3

statistic	accelerator off	accelerator on
K^* (PIV filers)	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	27.905	27.905
$\mathbb{E}[t_s^{\text{LTF}}]$	30.886	30.886
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	120.647	111.413
$\mathbb{E}[C_{s1}]$	36.235	37.610
$\mathbb{E}[C_{s2}]$	16.696	13.400
$\mathbb{E}[V^B]$	2426.900	2436.467
$\mathbb{E}[V_{\text{FTF}}^G]$	53.017	54.024
$\mathbb{E}[V_{\text{LTF}}^G]$	15.554	13.322
$V_{\text{entry}}^{\text{PIV}}$	15.547	14.912
1st gen entry date (settle)	27.905	27.905
1st gen entry date (litig.)	24.100	24.100

Table 4: Accelerator clause, Market 4

statistic	accelerator off	accelerator on
K^* (PIV filers)	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	27.905	27.905
$\mathbb{E}[t_s^{\text{LTF}}]$	30.886	30.886
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	118.253	109.361
$\mathbb{E}[C_{s1}]$	35.860	37.183
$\mathbb{E}[C_{s2}]$	16.337	13.159
$\mathbb{E}[V^B]$	2416.091	2425.296
$\mathbb{E}[V_{\text{FTF}}^G]$	50.023	50.995
$\mathbb{E}[V_{\text{LTF}}^G]$	12.998	10.825
$V_{\text{entry}}^{\text{PIV}}$	13.535	12.917
1st gen entry date (settle)	27.905	27.905
1st gen entry date (litig.)	24.100	24.100

Table 5: Accelerator clause, Market 5

statistic	accelerator off	accelerator on
K^* (PIV filers)	8	8
$\mathbb{E}[t_s^{\text{FTF}}]$	26.957	26.957
$\mathbb{E}[t_s^{\text{LTF}}]$	29.981	29.981
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	91.855	84.305
$\mathbb{E}[C_{s1}]$	31.560	32.720
$\mathbb{E}[C_{s2}]$	10.446	8.160
$\mathbb{E}[V^B]$	2250.655	2258.291
$\mathbb{E}[V_{\text{FTF}}^G]$	53.475	54.353
$\mathbb{E}[V_{\text{LTF}}^G]$	16.679	14.952
$V_{\text{entry}}^{\text{PIV}}$	15.991	15.471
1st gen entry date (settle)	26.957	26.957
1st gen entry date (litig.)	24.100	24.100

Table 6: Accelerator clause, Market 6

statistic	accelerator off	accelerator on
K^* (PIV filers)	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	27.309	27.309
$\mathbb{E}[t_s^{\text{LTF}}]$	29.983	29.983
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	91.633	84.184
$\mathbb{E}[C_{s1}]$	31.107	32.294
$\mathbb{E}[C_{s2}]$	10.972	8.269
$\mathbb{E}[V^B]$	2110.021	2117.583
$\mathbb{E}[V_{\text{FTF}}^G]$	48.371	49.288
$\mathbb{E}[V_{\text{LTF}}^G]$	15.733	13.611
$V_{\text{entry}}^{\text{PIV}}$	14.758	14.146
1st gen entry date (settle)	27.309	27.309
1st gen entry date (litig.)	24.100	24.100

Table 7: Accelerator clause, Market 7

statistic	accelerator off	accelerator on
K^* (PIV filers)	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	26.969	26.969
$\mathbb{E}[t_s^{\text{LTF}}]$	29.983	29.983
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	78.876	71.673
$\mathbb{E}[C_{s1}]$	28.758	29.934
$\mathbb{E}[C_{s2}]$	10.616	7.994
$\mathbb{E}[V^B]$	2007.944	2015.247
$\mathbb{E}[V_{\text{FTF}}^G]$	47.946	48.861
$\mathbb{E}[V_{\text{LTF}}^G]$	16.051	13.973
$V_{\text{entry}}^{\text{PIV}}$	15.150	14.552
1st gen entry date (settle)	26.969	26.969
1st gen entry date (litig.)	24.100	24.100

2 Patent strength

Table 8: Patent strength, Market 1

statistic	p-patent = 0.3	p-patent = 0.4	p-patent = 0.5	p-patent = 0.6	p-patent = 0.7
K^* (PIV filers)	8	8	8	8	8
$\mathbb{E}[t_s^{\text{FTF}}]$	15.508	18.656	21.656	24.656	27.656
$\mathbb{E}[t_s^{\text{LTF}}]$	18.297	21.000	24.000	27.000	30.000
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	162.107	170.531	166.847	157.362	141.529
$\mathbb{E}[C_{s1}]$	44.093	41.250	36.052	29.734	22.175
$\mathbb{E}[C_{s2}]$	22.726	22.691	24.159	24.656	24.103
$\mathbb{E}[V^B]$	2587.158	2859.167	3112.631	3357.535	3595.197
$\mathbb{E}[V_{\text{FTF}}^G]$	81.370	74.757	68.115	60.418	51.398
$\mathbb{E}[V_{\text{LTF}}^G]$	16.605	16.992	15.134	13.026	10.662
$V_{\text{entry}}^{\text{PIV}}$	19.643	18.199	16.544	14.555	12.187
1st gen entry date (settle)	15.508	18.656	21.656	24.656	27.656
1st gen entry date (litig.)	12.200	15.600	19.000	22.400	25.800

Table 9: Patent strength, Market 2

statistic	p-patent = 0.3	p-patent = 0.4	p-patent = 0.5	p-patent = 0.6	p-patent = 0.7
K^* (PIV filers)	8	8	8	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	15.301	18.302	21.262	24.660	27.660
$\mathbb{E}[t_s^{\text{LTF}}]$	17.983	20.983	23.400	27.000	30.000
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	126.945	129.551	121.528	121.800	108.754
$\mathbb{E}[C_{s1}]$	33.768	30.063	26.702	22.933	16.973
$\mathbb{E}[C_{s2}]$	17.720	19.865	17.134	23.162	22.346
$\mathbb{E}[V^B]$	1872.149	2064.840	2257.770	2449.921	2625.501
$\mathbb{E}[V_{\text{FTF}}^G]$	61.464	56.497	50.734	53.284	44.985
$\mathbb{E}[V_{\text{LTF}}^G]$	13.054	12.276	13.256	20.593	17.378
$V_{\text{entry}}^{\text{PIV}}$	14.669	13.662	12.884	18.289	15.437
1st gen entry date (settle)	15.301	18.302	21.262	24.660	27.660
1st gen entry date (litig.)	12.200	15.600	19.000	22.400	25.800

Table 10: Patent strength, Market 3

statistic	p-patent = 0.3	p-patent = 0.4	p-patent = 0.5	p-patent = 0.6	p-patent = 0.7
K^* (PIV filers)	8	8	7	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	15.301	17.909	21.659	24.660	27.264
$\mathbb{E}[t_s^{\text{LTF}}]$	17.983	20.385	23.999	27.000	29.399
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	121.601	105.089	123.042	115.670	87.404
$\mathbb{E}[C_{s1}]$	31.734	27.448	26.293	21.369	15.076
$\mathbb{E}[C_{s2}]$	17.135	15.255	21.794	22.148	17.546
$\mathbb{E}[V^B]$	1736.514	1916.459	2107.189	2275.008	2439.072
$\mathbb{E}[V_{\text{FTF}}^G]$	56.661	52.476	55.949	48.994	41.553
$\mathbb{E}[V_{\text{LTF}}^G]$	11.325	12.797	21.207	18.676	17.401
$V_{\text{entry}}^{\text{PIV}}$	13.046	13.084	18.865	16.591	14.690
1st gen entry date (settle)	15.301	17.909	21.659	24.660	27.264
1st gen entry date (litig.)	12.200	15.600	19.000	22.400	25.800

Table 11: Patent strength, Market 4

statistic	p-patent = 0.3	p-patent = 0.4	p-patent = 0.5	p-patent = 0.6	p-patent = 0.7
K^* (PIV filers)	7	7	7	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	15.310	18.659	21.659	24.660	27.264
$\mathbb{E}[t_s^{\text{LTF}}]$	17.985	20.999	23.999	27.000	29.399
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	105.361	122.857	120.527	113.248	85.503
$\mathbb{E}[C_{s1}]$	31.586	30.206	26.064	21.211	14.969
$\mathbb{E}[C_{s2}]$	17.196	19.898	21.336	21.674	17.165
$\mathbb{E}[V^B]$	1745.062	1926.679	2098.278	2265.111	2427.867
$\mathbb{E}[V_{\text{FTF}}^G]$	64.271	58.196	52.355	45.798	38.678
$\mathbb{E}[V_{\text{LTF}}^G]$	20.825	19.669	17.923	15.710	14.697
$V_{\text{entry}}^{\text{PIV}}$	19.950	18.051	16.378	14.353	12.669
1st gen entry date (settle)	15.310	18.659	21.659	24.660	27.264
1st gen entry date (litig.)	12.200	15.600	19.000	22.400	25.800

Table 12: Patent strength, Market 5

statistic	p-patent = 0.3	p-patent = 0.4	p-patent = 0.5	p-patent = 0.6	p-patent = 0.7
K^* (PIV filers)	9	9	9	9	8
$\mathbb{E}[t_s^{\text{FTF}}]$	14.652	17.653	20.654	23.654	27.011
$\mathbb{E}[t_s^{\text{LTF}}]$	16.998	20.000	23.000	26.000	29.017
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	102.998	103.320	99.039	90.399	83.300
$\mathbb{E}[C_{s1}]$	29.017	25.581	21.626	17.107	13.428
$\mathbb{E}[C_{s2}]$	10.741	12.391	13.180	13.184	13.708
$\mathbb{E}[V^B]$	1599.405	1771.507	1938.009	2099.303	2266.312
$\mathbb{E}[V_{\text{FTF}}^G]$	58.782	54.099	48.818	42.844	40.904
$\mathbb{E}[V_{\text{LTF}}^G]$	16.628	15.911	14.717	13.139	17.268
$V_{\text{entry}}^{\text{PIV}}$	15.798	14.898	13.651	12.080	14.434
1st gen entry date (settle)	14.652	17.653	20.654	23.654	27.011
1st gen entry date (litig.)	12.200	15.600	19.000	22.400	25.800

Table 13: Patent strength, Market 6

statistic	p-patent = 0.3	p-patent = 0.4	p-patent = 0.5	p-patent = 0.6	p-patent = 0.7
K^* (PIV filers)	8	8	7	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	14.656	17.656	21.253	24.263	27.264
$\mathbb{E}[t_s^{\text{LTF}}]$	17.000	20.000	23.384	26.398	29.399
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	84.186	86.309	97.922	90.995	79.048
$\mathbb{E}[C_{s1}]$	26.937	23.886	22.449	18.198	13.322
$\mathbb{E}[C_{s2}]$	10.042	11.945	16.613	16.904	16.028
$\mathbb{E}[V^B]$	1507.580	1665.992	1830.757	1979.078	2123.886
$\mathbb{E}[V_{\text{FTF}}^G]$	51.598	47.393	50.018	43.812	36.949
$\mathbb{E}[V_{\text{LTF}}^G]$	13.233	13.002	21.009	18.680	15.818
$V_{\text{entry}}^{\text{PIV}}$	13.076	12.413	17.697	15.648	13.230
1st gen entry date (settle)	14.656	17.656	21.253	24.263	27.264
1st gen entry date (litig.)	12.200	15.600	19.000	22.400	25.800

Table 14: Patent strength, Market 7

statistic	p-patent = 0.3	p-patent = 0.4	p-patent = 0.5	p-patent = 0.6	p-patent = 0.7
K^* (PIV filers)	8	8	7	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	14.655	17.656	21.253	24.263	27.065
$\mathbb{E}[t_s^{\text{LTF}}]$	16.998	20.000	23.384	26.398	29.099
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	82.264	84.198	95.561	88.625	70.668
$\mathbb{E}[C_{s1}]$	26.042	23.039	21.657	17.504	12.341
$\mathbb{E}[C_{s2}]$	9.830	11.689	16.241	16.508	14.024
$\mathbb{E}[V^B]$	1435.494	1586.820	1743.683	1885.549	2023.984
$\mathbb{E}[V_{\text{FTF}}^G]$	51.091	46.884	49.198	43.085	36.443
$\mathbb{E}[V_{\text{LTF}}^G]$	14.138	13.814	21.400	19.041	16.867
$V_{\text{entry}}^{\text{PIV}}$	13.624	12.902	17.867	15.811	13.658
1st gen entry date (settle)	14.655	17.656	21.253	24.263	27.065
1st gen entry date (litig.)	12.200	15.600	19.000	22.400	25.800

3 Patent strength, near-certainly-invalid patents

Table 15: Patent strength, near-certainly-invalid patents, Market 1

statistic	p-patent = 0.005	p-patent = 0.05	p-patent = 0.1
K^* (PIV filers)	8	8	8
$\mathbb{E}[t_s^{\text{FTF}}]$	5.265	6.730	8.330
$\mathbb{E}[t_s^{\text{LTF}}]$	9.000	10.084	11.699
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	3.596	3.496	3.197
$\mathbb{E}[\text{total reverse payment}]$	44.341	63.109	84.619
$\mathbb{E}[C_{s1}]$	23.879	25.948	27.296
$\mathbb{E}[C_{s2}]$	0.893	1.522	8.074
$\mathbb{E}[V^B]$	1742.694	1881.548	2018.843
$\mathbb{E}[V_{\text{FTF}}^G]$	117.192	113.181	107.003
$\mathbb{E}[V_{\text{LTF}}^G]$	12.484	13.782	15.853
$V_{\text{entry}}^{\text{PIV}}$	22.338	21.710	22.082
1st gen entry date (settle)	5.265	6.730	8.330
1st gen entry date (litig.)	2.170	3.700	5.400

Table 16: Patent strength, near-certainly-invalid patents, Market 2

statistic	p-patent = 0.005	p-patent = 0.05	p-patent = 0.1
K^* (PIV filers)	8	8	8
$\mathbb{E}[t_s^{\text{FTF}}]$	6.312	7.312	8.459
$\mathbb{E}[t_s^{\text{LTF}}]$	8.998	9.998	11.297
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.598
$\mathbb{E}[\text{total reverse payment}]$	72.062	64.760	69.674
$\mathbb{E}[C_{s1}]$	40.752	37.934	29.359
$\mathbb{E}[C_{s2}]$	2.136	2.831	4.441
$\mathbb{E}[V^B]$	1267.463	1358.527	1462.892
$\mathbb{E}[V_{\text{FTF}}^G]$	73.517	72.459	75.077
$\mathbb{E}[V_{\text{LTF}}^G]$	8.900	11.214	12.217
$V_{\text{entry}}^{\text{PIV}}$	14.489	15.506	15.830
1st gen entry date (settle)	6.312	7.312	8.459
1st gen entry date (litig.)	2.170	3.700	5.400

Table 17: Patent strength, near-certainly-invalid patents, Market 3

statistic	p-patent = 0.005	p-patent = 0.05	p-patent = 0.1
K^* (PIV filers)	8	8	8
$\mathbb{E}[t_s^{\text{FTF}}]$	6.311	7.312	8.459
$\mathbb{E}[t_s^{\text{LTF}}]$	8.998	9.998	11.297
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.598
$\mathbb{E}[\text{total reverse payment}]$	70.734	62.868	67.590
$\mathbb{E}[C_{s1}]$	38.811	36.100	28.017
$\mathbb{E}[C_{s2}]$	2.310	2.864	4.360
$\mathbb{E}[V^B]$	1173.879	1259.901	1356.739
$\mathbb{E}[V_{\text{FTF}}^G]$	67.883	66.994	69.281
$\mathbb{E}[V_{\text{LTF}}^G]$	7.002	9.261	10.275
$V_{\text{entry}}^{\text{PIV}}$	12.603	13.631	13.953
1st gen entry date (settle)	6.311	7.312	8.459
1st gen entry date (litig.)	2.170	3.700	5.400

Table 18: Patent strength, near-certainly-invalid patents, Market 4

statistic	p-patent = 0.005	p-patent = 0.05	p-patent = 0.1
K^* (PIV filers)	7	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	5.263	6.328	9.309
$\mathbb{E}[t_s^{\text{LTF}}]$	9.000	9.999	11.983
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	3.601	3.502	2.000
$\mathbb{E}[\text{total reverse payment}]$	24.412	23.640	77.489
$\mathbb{E}[C_{s1}]$	17.071	16.331	36.224
$\mathbb{E}[C_{s2}]$	0.000	0.253	7.532
$\mathbb{E}[V^B]$	1182.801	1264.359	1377.506
$\mathbb{E}[V_{\text{FTF}}^G]$	89.128	87.326	73.756
$\mathbb{E}[V_{\text{LTF}}^G]$	15.318	16.553	19.708
$V_{\text{entry}}^{\text{PIV}}$	21.591	22.118	21.185
1st gen entry date (settle)	5.263	6.328	9.309
1st gen entry date (litig.)	2.170	3.700	5.400

Table 19: Patent strength, near-certainly-invalid patents, Market 5

statistic	p-patent = 0.005	p-patent = 0.05	p-patent = 0.1
K^* (PIV filers)	9	9	9
$\mathbb{E}[t_s^{\text{FTF}}]$	5.169	5.779	8.295
$\mathbb{E}[t_s^{\text{LTF}}]$	8.385	9.385	10.981
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.596	3.193	2.000
$\mathbb{E}[\text{total reverse payment}]$	45.269	35.508	64.389
$\mathbb{E}[C_{s1}]$	25.716	16.344	32.263
$\mathbb{E}[C_{s2}]$	1.748	1.946	4.106
$\mathbb{E}[V^B]$	1056.666	1128.833	1238.675
$\mathbb{E}[V_{\text{FTF}}^G]$	74.416	76.977	67.694
$\mathbb{E}[V_{\text{LTF}}^G]$	12.972	13.108	15.453
$V_{\text{entry}}^{\text{PIV}}$	16.497	17.149	16.840
1st gen entry date (settle)	5.169	5.779	8.295
1st gen entry date (litig.)	2.170	3.700	5.400

Table 20: Patent strength, near-certainly-invalid patents, Market 6

statistic	p-patent = 0.005	p-patent = 0.05	p-patent = 0.1
K^* (PIV filers)	8	8	8
$\mathbb{E}[t_s^{\text{FTF}}]$	5.968	7.301	8.301
$\mathbb{E}[t_s^{\text{LTF}}]$	8.998	9.983	10.983
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	56.294	59.620	48.660
$\mathbb{E}[C_{s1}]$	33.834	32.840	29.908
$\mathbb{E}[C_{s2}]$	2.695	2.919	2.569
$\mathbb{E}[V^B]$	1006.533	1092.040	1170.914
$\mathbb{E}[V_{\text{FTF}}^G]$	62.417	60.441	59.556
$\mathbb{E}[V_{\text{LTF}}^G]$	6.529	8.592	10.542
$V_{\text{entry}}^{\text{PIV}}$	12.432	12.455	13.448
1st gen entry date (settle)	5.968	7.301	8.301
1st gen entry date (litig.)	2.170	3.700	5.400

Table 21: Patent strength, near-certainly-invalid patents, Market 7

statistic	p-patent = 0.005	p-patent = 0.05	p-patent = 0.1
K^* (PIV filers)	8	8	8
$\mathbb{E}[t_s^{\text{FTF}}]$	5.948	7.301	8.301
$\mathbb{E}[t_s^{\text{LTF}}]$	8.983	9.983	10.983
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.015	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	54.878	59.054	47.589
$\mathbb{E}[C_{s1}]$	32.536	31.836	28.968
$\mathbb{E}[C_{s2}]$	2.843	3.006	2.586
$\mathbb{E}[V^B]$	957.013	1038.645	1115.104
$\mathbb{E}[V_{\text{FTF}}^G]$	61.910	59.953	59.086
$\mathbb{E}[V_{\text{LTF}}^G]$	7.979	9.899	11.759
$V_{\text{entry}}^{\text{PIV}}$	13.250	13.227	14.156
1st gen entry date (settle)	5.948	7.301	8.301
1st gen entry date (litig.)	2.170	3.700	5.400

4 Patent strength, near-certainly-valid patents

Table 22: Patent strength, near-certainly-valid patents, Market 1

statistic	p-patent = 0.85	p-patent = 0.9	p-patent = 0.92
K^* (PIV filers)	7	7	6
$\mathbb{E}[t_s^{\text{FTF}}]$	32.614	34.000	34.335
$\mathbb{E}[t_s^{\text{LTF}}]$	34.415	36.000	36.000
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	113.243	90.763	69.911
$\mathbb{E}[C_{s1}]$	12.733	6.559	5.423
$\mathbb{E}[C_{s2}]$	21.789	19.844	16.941
$\mathbb{E}[V^B]$	3961.416	4073.763	4120.452
$\mathbb{E}[V_{\text{FTF}}^G]$	42.941	36.424	43.238
$\mathbb{E}[V_{\text{LTF}}^G]$	16.274	12.858	24.272
$V_{\text{entry}}^{\text{PIV}}$	14.508	12.053	19.577
1st gen entry date (settle)	32.614	34.000	34.335
1st gen entry date (litig.)	30.900	32.600	33.280

Table 23: Patent strength, near-certainly-valid patents, Market 2

statistic	p-patent = 0.85	p-patent = 0.9	p-patent = 0.92
K^* (PIV filers)	6	6	6
$\mathbb{E}[t_s^{\text{FTF}}]$	32.598	34.000	34.335
$\mathbb{E}[t_s^{\text{LTF}}]$	34.396	36.000	36.000
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	85.418	68.052	53.953
$\mathbb{E}[C_{s1}]$	10.495	5.618	4.048
$\mathbb{E}[C_{s2}]$	19.942	17.988	13.094
$\mathbb{E}[V^B]$	2897.305	2980.191	3012.078
$\mathbb{E}[V_{\text{FTF}}^G]$	39.318	33.501	31.323
$\mathbb{E}[V_{\text{LTF}}^G]$	22.104	17.951	17.305
$V_{\text{entry}}^{\text{PIV}}$	17.524	14.742	13.989
1st gen entry date (settle)	32.598	34.000	34.335
1st gen entry date (litig.)	30.900	32.600	33.280

Table 24: Patent strength, near-certainly-valid patents, Market 3

statistic	p-patent = 0.85	p-patent = 0.9	p-patent = 0.92
K^* (PIV filers)	6	6	6
$\mathbb{E}[t_s^{\text{FTF}}]$	32.598	34.000	34.335
$\mathbb{E}[t_s^{\text{LTF}}]$	34.396	36.000	36.000
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	80.492	63.973	50.651
$\mathbb{E}[C_{s1}]$	9.792	5.114	3.782
$\mathbb{E}[C_{s2}]$	18.822	16.998	12.299
$\mathbb{E}[V^B]$	2692.369	2769.821	2799.784
$\mathbb{E}[V_{\text{FTF}}^G]$	36.047	30.592	28.688
$\mathbb{E}[V_{\text{LTF}}^G]$	20.077	16.149	15.572
$V_{\text{entry}}^{\text{PIV}}$	15.915	13.313	12.641
1st gen entry date (settle)	32.598	34.000	34.335
1st gen entry date (litig.)	30.900	32.600	33.280

Table 25: Patent strength, near-certainly-valid patents, Market 4

statistic	p-patent = 0.85	p-patent = 0.9	p-patent = 0.92
K^* (PIV filers)	6	5	5
$\mathbb{E}[t_s^{\text{FTF}}]$	32.598	34.328	34.328
$\mathbb{E}[t_s^{\text{LTF}}]$	34.396	36.000	36.000
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	78.816	70.089	47.892
$\mathbb{E}[C_{s1}]$	9.721	8.651	4.449
$\mathbb{E}[C_{s2}]$	18.428	19.757	14.848
$\mathbb{E}[V^B]$	2679.544	2761.998	2788.050
$\mathbb{E}[V_{\text{FTF}}^G]$	33.629	38.319	35.677
$\mathbb{E}[V_{\text{LTF}}^G]$	17.700	26.445	24.952
$V_{\text{entry}}^{\text{PIV}}$	14.172	20.022	18.959
1st gen entry date (settle)	32.598	34.328	34.328
1st gen entry date (litig.)	30.900	32.600	33.280

Table 26: Patent strength, near-certainly-valid patents, Market 5

statistic	p-patent = 0.85	p-patent = 0.9	p-patent = 0.92
K^* (PIV filers)	7	7	6
$\mathbb{E}[t_s^{\text{FTF}}]$	32.065	33.603	34.335
$\mathbb{E}[t_s^{\text{LTF}}]$	34.099	35.399	36.000
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	67.026	53.716	50.903
$\mathbb{E}[C_{s1}]$	5.882	3.249	3.499
$\mathbb{E}[C_{s2}]$	15.001	11.784	12.358
$\mathbb{E}[V^B]$	2501.693	2578.690	2611.680
$\mathbb{E}[V_{\text{FTF}}^G]$	33.400	28.655	33.342
$\mathbb{E}[V_{\text{LTF}}^G]$	17.213	14.644	21.181
$V_{\text{entry}}^{\text{PIV}}$	14.103	12.088	16.639
1st gen entry date (settle)	32.065	33.603	34.335
1st gen entry date (litig.)	30.900	32.600	33.280

Table 27: Patent strength, near-certainly-valid patents, Market 6

statistic	p-patent = 0.85	p-patent = 0.9	p-patent = 0.92
K^* (PIV filers)	6	6	5
$\mathbb{E}[t_s^{\text{FTF}}]$	32.263	33.598	34.328
$\mathbb{E}[t_s^{\text{LTF}}]$	34.396	35.396	36.000
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	62.945	45.482	43.485
$\mathbb{E}[C_{s1}]$	6.959	3.618	3.960
$\mathbb{E}[C_{s2}]$	17.073	12.007	13.464
$\mathbb{E}[V^B]$	2343.421	2413.358	2442.769
$\mathbb{E}[V_{\text{FTF}}^G]$	32.045	27.032	33.626
$\mathbb{E}[V_{\text{LTF}}^G]$	17.876	15.300	24.147
$V_{\text{entry}}^{\text{PIV}}$	14.313	12.199	18.281
1st gen entry date (settle)	32.263	33.598	34.328
1st gen entry date (litig.)	30.900	32.600	33.280

Table 28: Patent strength, near-certainly-valid patents, Market 7

statistic	p-patent = 0.85	p-patent = 0.9	p-patent = 0.92
K^* (PIV filers)	6	6	5
$\mathbb{E}[t_s^{\text{FTF}}]$	32.263	33.598	34.328
$\mathbb{E}[t_s^{\text{LTF}}]$	34.396	35.396	36.000
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	61.029	44.062	42.016
$\mathbb{E}[C_{s1}]$	6.604	3.463	3.798
$\mathbb{E}[C_{s2}]$	16.615	11.650	13.003
$\mathbb{E}[V^B]$	2233.970	2301.059	2329.361
$\mathbb{E}[V_{\text{FTF}}^G]$	31.421	26.631	32.941
$\mathbb{E}[V_{\text{LTF}}^G]$	17.910	15.387	23.863
$V_{\text{entry}}^{\text{PIV}}$	14.282	12.224	18.047
1st gen entry date (settle)	32.263	33.598	34.328
1st gen entry date (litig.)	30.900	32.600	33.280

5 Antitrust scrutiny of cash deals

Table 29: Antitrust scrutiny of cash deals, Market 1

ψ_{cash} factor	1.0	2.0	5.0	10.0
K^* (PIV filers)	8	7	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	27.957	27.905	27.294	26.085
$\mathbb{E}[t_s^{\text{LTF}}]$	30.981	30.886	30.476	29.245
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000	2.602
$\mathbb{E}[\text{total reverse payment}]$	163.551	120.844	58.068	24.969
$\mathbb{E}[C_{s1}]$	46.554	35.363	18.349	7.565
$\mathbb{E}[C_{s2}]$	19.434	17.137	8.598	3.557
$\mathbb{E}[V^B]$	3585.583	3624.231	3649.561	3623.833
$\mathbb{E}[V_{\text{FTF}}^G]$	64.081	61.727	50.733	57.702
$\mathbb{E}[V_{\text{LTF}}^G]$	11.513	17.389	13.067	16.088
$V_{\text{entry}}^{\text{PIV}}$	13.941	18.709	15.965	17.701
1st gen entry date (settle)	27.957	27.905	27.289	26.080
1st gen entry date (litig.)	24.100	24.100	24.100	24.100

Table 30: Antitrust scrutiny of cash deals, Market 2

ψ_{cash} factor	1.0	2.0	5.0	10.0
K^* (PIV filers)	7	7	6	7
$\mathbb{E}[t_s^{\text{FTF}}]$	27.905	27.706	26.119	26.094
$\mathbb{E}[t_s^{\text{LTF}}]$	30.886	30.584	29.287	29.259
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.604	2.602
$\mathbb{E}[\text{total reverse payment}]$	127.145	99.046	39.251	23.155
$\mathbb{E}[C_{s1}]$	38.189	29.472	12.315	7.226
$\mathbb{E}[C_{s2}]$	17.618	13.618	7.145	3.260
$\mathbb{E}[V^B]$	2613.352	2631.375	2637.006	2646.704
$\mathbb{E}[V_{\text{FTF}}^G]$	57.040	48.314	57.927	42.789
$\mathbb{E}[V_{\text{LTF}}^G]$	17.217	14.022	24.284	11.784
$V_{\text{entry}}^{\text{PIV}}$	17.079	14.430	23.043	12.938
1st gen entry date (settle)	27.905	27.706	26.119	26.089
1st gen entry date (litig.)	24.100	24.100	24.100	24.100

Table 31: Antitrust scrutiny of cash deals, Market 3

ψ_{cash} factor	1.0	2.0	5.0	10.0
K^* (PIV filers)	7	7	7	6
$\mathbb{E}[t_s^{\text{FTF}}]$	27.905	27.706	26.110	25.896
$\mathbb{E}[t_s^{\text{LTF}}]$	30.886	30.584	29.282	28.952
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.601	2.605
$\mathbb{E}[\text{total reverse payment}]$	120.647	95.020	37.841	21.413
$\mathbb{E}[C_{s1}]$	36.235	28.267	11.918	6.920
$\mathbb{E}[C_{s2}]$	16.696	13.039	5.361	3.790
$\mathbb{E}[V^B]$	2426.900	2443.134	2444.164	2458.220
$\mathbb{E}[V_{\text{FTF}}^G]$	53.017	44.995	43.436	50.506
$\mathbb{E}[V_{\text{LTF}}^G]$	15.554	12.667	12.160	21.115
$V_{\text{entry}}^{\text{PIV}}$	15.547	13.133	12.948	20.186
1st gen entry date (settle)	27.905	27.706	26.110	25.893
1st gen entry date (litig.)	24.100	24.100	24.100	24.100

Table 32: Antitrust scrutiny of cash deals, Market 4

ψ_{cash} factor	1.0	2.0	5.0	10.0
K^* (PIV filers)	7	6	6	6
$\mathbb{E}[t_s^{\text{FTF}}]$	27.905	27.723	27.660	26.097
$\mathbb{E}[t_s^{\text{LTF}}]$	30.886	30.590	30.497	29.254
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.000	2.605
$\mathbb{E}[\text{total reverse payment}]$	118.253	90.251	55.465	22.247
$\mathbb{E}[C_{s1}]$	35.860	28.672	17.408	7.098
$\mathbb{E}[C_{s2}]$	16.337	15.198	9.440	3.996
$\mathbb{E}[V^B]$	2416.091	2440.641	2473.308	2452.797
$\mathbb{E}[V_{\text{FTF}}^G]$	50.023	52.002	41.534	46.526
$\mathbb{E}[V_{\text{LTF}}^G]$	12.998	21.097	15.706	17.591
$V_{\text{entry}}^{\text{PIV}}$	13.535	19.618	15.731	17.607
1st gen entry date (settle)	27.905	27.723	27.660	26.094
1st gen entry date (litig.)	24.100	24.100	24.100	24.100

Table 33: Antitrust scrutiny of cash deals, Market 5

ψ_{cash} factor	1.0	2.0	5.0	10.0
K^* (PIV filers)	8	8	8	8
$\mathbb{E}[t_s^{\text{FTF}}]$	26.957	26.901	26.105	25.905
$\mathbb{E}[t_s^{\text{LTF}}]$	29.981	29.896	29.282	28.978
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.598	2.598
$\mathbb{E}[\text{total reverse payment}]$	91.855	75.140	39.633	22.526
$\mathbb{E}[C_{s1}]$	31.560	25.251	12.107	7.087
$\mathbb{E}[C_{s2}]$	10.446	8.652	4.542	2.473
$\mathbb{E}[V^B]$	2250.655	2263.805	2277.687	2288.081
$\mathbb{E}[V_{\text{FTF}}^G]$	53.475	46.430	43.289	39.954
$\mathbb{E}[V_{\text{LTF}}^G]$	16.679	14.607	12.706	12.194
$V_{\text{entry}}^{\text{PIV}}$	15.991	14.295	12.907	12.198
1st gen entry date (settle)	26.957	26.901	26.105	25.905
1st gen entry date (litig.)	24.100	24.100	24.100	24.100

Table 34: Antitrust scrutiny of cash deals, Market 6

ψ_{cash} factor	1.0	2.0	5.0	10.0
K^* (PIV filers)	7	7	6	6
$\mathbb{E}[t_s^{\text{FTF}}]$	27.309	26.914	26.121	25.847
$\mathbb{E}[t_s^{\text{LTF}}]$	29.983	29.900	29.289	28.878
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.604	2.604
$\mathbb{E}[\text{total reverse payment}]$	91.633	66.804	35.779	20.214
$\mathbb{E}[C_{s1}]$	31.107	23.820	11.524	6.667
$\mathbb{E}[C_{s2}]$	10.972	9.163	6.422	3.574
$\mathbb{E}[V^B]$	2110.021	2117.964	2133.752	2140.319
$\mathbb{E}[V_{\text{FTF}}^G]$	48.371	42.242	48.145	45.317
$\mathbb{E}[V_{\text{LTF}}^G]$	15.733	13.612	20.326	19.310
$V_{\text{entry}}^{\text{PIV}}$	14.758	13.332	19.094	18.277
1st gen entry date (settle)	27.309	26.914	26.121	25.847
1st gen entry date (litig.)	24.100	24.100	24.100	24.100

Table 35: Antitrust scrutiny of cash deals, Market 7

ψ_{cash} factor	1.0	2.0	5.0	10.0
K^* (PIV filers)	7	7	7	6
$\mathbb{E}[t_s^{\text{FTF}}]$	26.969	26.914	26.112	25.847
$\mathbb{E}[t_s^{\text{LTF}}]$	29.983	29.900	29.285	28.878
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000	2.601	2.604
$\mathbb{E}[\text{total reverse payment}]$	78.876	65.217	35.227	20.015
$\mathbb{E}[C_{s1}]$	28.758	23.271	11.325	6.630
$\mathbb{E}[C_{s2}]$	10.616	8.922	4.918	3.520
$\mathbb{E}[V^B]$	2007.944	2018.425	2028.829	2040.590
$\mathbb{E}[V_{\text{FTF}}^G]$	47.946	41.803	38.747	44.573
$\mathbb{E}[V_{\text{LTF}}^G]$	16.051	14.056	11.905	19.558
$V_{\text{entry}}^{\text{PIV}}$	15.150	13.568	12.150	18.303
1st gen entry date (settle)	26.969	26.914	26.112	25.847
1st gen entry date (litig.)	24.100	24.100	24.100	24.100

6 Hatch–Waxman exclusivity length

Table 36: Hatch–Waxman exclusivity length, Market 1

statistic	excl = 1	excl = 2	excl = 3	excl = 4
K^* (PIV filers)	8	8	8	8
$\mathbb{E}[t_s^{\text{FTF}}]$	28.546	27.957	27.312	26.656
$\mathbb{E}[t_s^{\text{LTF}}]$	30.878	30.981	30.998	31.000
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	1.000	2.000	3.000	4.000
$\mathbb{E}[\text{total reverse payment}]$	172.424	163.551	152.275	140.453
$\mathbb{E}[C_{s1}]$	53.704	46.554	38.932	31.102
$\mathbb{E}[C_{s2}]$	19.322	19.434	19.166	18.820
$\mathbb{E}[V^B]$	3592.010	3585.583	3577.258	3567.565
$\mathbb{E}[V_{\text{FTF}}^G]$	53.889	64.081	73.818	82.861
$\mathbb{E}[V_{\text{LTF}}^G]$	11.903	11.513	11.313	11.132
$V_{\text{entry}}^{\text{PIV}}$	12.803	13.941	15.093	16.153
1st gen entry date (settle)	28.546	27.957	27.312	26.656
1st gen entry date (litig.)	24.100	24.100	24.100	24.100

Table 37: Hatch–Waxman exclusivity length, Market 2

statistic	excl = 1	excl = 2	excl = 3	excl = 4
K^* (PIV filers)	7	7	7	8
$\mathbb{E}[t_s^{\text{FTF}}]$	28.311	27.905	27.310	26.312
$\mathbb{E}[t_s^{\text{LTF}}]$	30.500	30.886	30.985	30.998
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	1.000	2.000	3.000	4.000
$\mathbb{E}[\text{total reverse payment}]$	128.896	127.145	119.309	102.500
$\mathbb{E}[C_{s1}]$	43.358	38.189	32.004	23.024
$\mathbb{E}[C_{s2}]$	16.328	17.618	17.662	15.582
$\mathbb{E}[V^B]$	2615.186	2613.352	2609.305	2592.533
$\mathbb{E}[V_{\text{FTF}}^G]$	50.413	57.040	63.562	62.193
$\mathbb{E}[V_{\text{LTF}}^G]$	18.077	17.217	16.865	7.891
$V_{\text{entry}}^{\text{PIV}}$	16.438	17.079	17.899	12.001
1st gen entry date (settle)	28.311	27.905	27.310	26.312
1st gen entry date (litig.)	24.100	24.100	24.100	24.100

Table 38: Hatch–Waxman exclusivity length, Market 3

statistic	excl = 1	excl = 2	excl = 3	excl = 4
K^* (PIV filers)	7	7	7	7
$E[t_s^{\text{FTF}}]$	28.301	27.905	27.310	26.659
$E[t_s^{\text{LTF}}]$	30.487	30.886	30.985	30.999
$E[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	1.000	2.000	3.000	4.000
$E[\text{total reverse payment}]$	121.987	120.647	113.138	103.829
$E[C_{s1}]$	41.139	36.235	30.313	24.043
$E[C_{s2}]$	15.406	16.696	16.743	16.447
$E[V^B]$	2428.542	2426.900	2423.409	2418.644
$E[V_{\text{FTF}}^G]$	47.000	53.017	58.963	64.487
$E[V_{\text{LTF}}^G]$	16.370	15.554	15.214	14.979
$V_{\text{entry}}^{\text{PIV}}$	14.981	15.547	16.291	17.012
1st gen entry date (settle)	28.301	27.905	27.310	26.659
1st gen entry date (litig.)	24.100	24.100	24.100	24.100

Table 39: Hatch–Waxman exclusivity length, Market 4

statistic	excl = 1	excl = 2	excl = 3	excl = 4
K^* (PIV filers)	7	7	7	7
$E[t_s^{\text{FTF}}]$	28.255	27.905	27.310	26.659
$E[t_s^{\text{LTF}}]$	30.500	30.886	30.985	30.999
$E[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	1.083	2.000	3.000	4.000
$E[\text{total reverse payment}]$	118.363	118.253	110.812	101.605
$E[C_{s1}]$	40.269	35.860	30.007	23.809
$E[C_{s2}]$	15.078	16.337	16.375	16.081
$E[V^B]$	2417.497	2416.091	2412.571	2407.761
$E[V_{\text{FTF}}^G]$	44.224	50.023	55.904	61.364
$E[V_{\text{LTF}}^G]$	13.740	12.998	12.663	12.428
$V_{\text{entry}}^{\text{PIV}}$	13.005	13.535	14.271	14.981
1st gen entry date (settle)	28.255	27.905	27.310	26.659
1st gen entry date (litig.)	24.100	24.100	24.100	24.100

Table 40: Hatch–Waxman exclusivity length, Market 5

statistic	excl = 1	excl = 2	excl = 3	excl = 4
K^* (PIV filers)	8	8	9	9
$E[t_s^{\text{FTF}}]$	27.153	26.957	26.306	25.654
$E[t_s^{\text{LTF}}]$	29.579	29.981	29.998	30.000
$E[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	1.299	2.000	3.000	4.000
$E[\text{total reverse payment}]$	89.709	91.855	84.488	75.239
$E[C_{s1}]$	34.194	31.560	25.397	19.341
$E[C_{s2}]$	9.572	10.446	9.000	8.776
$E[V^B]$	2250.393	2250.655	2244.491	2239.644
$E[V_{\text{FTF}}^G]$	48.753	53.475	54.100	58.961
$E[V_{\text{LTF}}^G]$	17.050	16.679	10.978	10.810
$V_{\text{entry}}^{\text{PIV}}$	15.583	15.991	12.209	12.688
1st gen entry date (settle)	27.153	26.957	26.306	25.654
1st gen entry date (litig.)	24.100	24.100	24.100	24.100

Table 41: Hatch–Waxman exclusivity length, Market 6

statistic	excl = 1	excl = 2	excl = 3	excl = 4
K^* (PIV filers)	7	7	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	27.904	27.309	26.857	26.659
$\mathbb{E}[t_s^{\text{LTF}}]$	29.884	29.983	30.299	30.999
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	1.000	2.000	3.000	4.000
$\mathbb{E}[\text{total reverse payment}]$	98.686	91.633	88.952	94.783
$\mathbb{E}[C_{s1}]$	36.483	31.107	26.162	21.645
$\mathbb{E}[C_{s2}]$	11.026	10.972	12.006	15.040
$\mathbb{E}[V^B]$	2112.197	2110.021	2107.311	2104.396
$\mathbb{E}[V_{\text{FTF}}^G]$	43.110	48.371	53.071	57.262
$\mathbb{E}[V_{\text{LTF}}^G]$	15.995	15.733	14.991	13.542
$V_{\text{entry}}^{\text{PIV}}$	14.087	14.758	15.178	15.233
1st gen entry date (settle)	27.904	27.309	26.857	26.659
1st gen entry date (litig.)	24.100	24.100	24.100	24.100

Table 42: Hatch–Waxman exclusivity length, Market 7

statistic	excl = 1	excl = 2	excl = 3	excl = 4
K^* (PIV filers)	7	7	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	27.167	26.969	26.319	25.923
$\mathbb{E}[t_s^{\text{LTF}}]$	29.584	29.983	29.999	30.398
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	1.300	2.000	3.000	4.000
$\mathbb{E}[\text{total reverse payment}]$	77.179	78.876	70.571	69.468
$\mathbb{E}[C_{s1}]$	31.114	28.758	23.217	18.532
$\mathbb{E}[C_{s2}]$	9.804	10.616	10.353	11.722
$\mathbb{E}[V^B]$	2007.496	2007.944	2004.887	2002.069
$\mathbb{E}[V_{\text{FTF}}^G]$	43.851	47.946	52.571	56.587
$\mathbb{E}[V_{\text{LTF}}^G]$	16.326	16.051	15.818	14.977
$V_{\text{entry}}^{\text{PIV}}$	14.704	15.150	15.748	16.038
1st gen entry date (settle)	27.167	26.969	26.319	25.923
1st gen entry date (litig.)	24.100	24.100	24.100	24.100

7 Exclusivity premium for winning in court

Table 43: Exclusivity premium for winning in court, Market 1

statistic	excl 0/2	excl 2/2
K^* (PIV filers)	8	8
$\mathbb{E}[t_s^{\text{FTF}}]$	26.863	27.957
$\mathbb{E}[t_s^{\text{LTF}}]$	28.896	30.981
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	1.581	2.000
$\mathbb{E}[\text{total reverse payment}]$	126.841	163.551
$\mathbb{E}[C_{s1}]$	41.613	46.554
$\mathbb{E}[C_{s2}]$	11.963	19.434
$\mathbb{E}[V^B]$	3550.170	3585.583
$\mathbb{E}[V_{\text{FTF}}^G]$	61.437	64.081
$\mathbb{E}[V_{\text{LTF}}^G]$	14.302	11.513
$V_{\text{entry}}^{\text{PIV}}$	14.595	13.941
1st gen entry date (settle)	26.863	27.957
1st gen entry date (litig.)	24.100	24.100

Table 44: Exclusivity premium for winning in court, Market 2

statistic	excl 0/2	excl 2/2
K^* (PIV filers)	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	26.858	27.905
$\mathbb{E}[t_s^{\text{LTF}}]$	28.886	30.886
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	1.585	2.000
$\mathbb{E}[\text{total reverse payment}]$	98.169	127.145
$\mathbb{E}[C_{s1}]$	33.877	38.189
$\mathbb{E}[C_{s2}]$	10.876	17.618
$\mathbb{E}[V^B]$	2592.444	2613.352
$\mathbb{E}[V_{\text{FTF}}^G]$	55.245	57.040
$\mathbb{E}[V_{\text{LTF}}^G]$	18.974	17.217
$V_{\text{entry}}^{\text{PIV}}$	17.432	17.079
1st gen entry date (settle)	26.858	27.905
1st gen entry date (litig.)	24.100	24.100

Table 45: Exclusivity premium for winning in court, Market 3

statistic	excl 0/2	excl 2/2
K^* (PIV filers)	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	26.858	27.905
$\mathbb{E}[t_s^{\text{LTF}}]$	28.886	30.886
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	1.585	2.000
$\mathbb{E}[\text{total reverse payment}]$	92.720	120.647
$\mathbb{E}[C_{s1}]$	32.187	36.235
$\mathbb{E}[C_{s2}]$	10.179	16.696
$\mathbb{E}[V^B]$	2408.754	2426.900
$\mathbb{E}[V_{\text{FTF}}^G]$	51.404	53.017
$\mathbb{E}[V_{\text{LTF}}^G]$	17.198	15.554
$V_{\text{entry}}^{\text{PIV}}$	15.891	15.547
1st gen entry date (settle)	26.858	27.905
1st gen entry date (litig.)	24.100	24.100

Table 46: Exclusivity premium for winning in court, Market 4

statistic	excl 0/2	excl 2/2
K^* (PIV filers)	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	26.913	27.905
$\mathbb{E}[t_s^{\text{LTF}}]$	28.969	30.886
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	1.585	2.000
$\mathbb{E}[\text{total reverse payment}]$	92.365	118.253
$\mathbb{E}[C_{s1}]$	32.137	35.860
$\mathbb{E}[C_{s2}]$	10.156	16.337
$\mathbb{E}[V^B]$	2398.468	2416.091
$\mathbb{E}[V_{\text{FTF}}^G]$	48.274	50.023
$\mathbb{E}[V_{\text{LTF}}^G]$	14.566	12.998
$V_{\text{entry}}^{\text{PIV}}$	13.826	13.535
1st gen entry date (settle)	26.913	27.905
1st gen entry date (litig.)	24.100	24.100

Table 47: Exclusivity premium for winning in court, Market 5

statistic	excl 0/2	excl 2/2
K^* (PIV filers)	8	8
$\mathbb{E}[t_s^{\text{FTF}}]$	26.957	26.957
$\mathbb{E}[t_s^{\text{LTF}}]$	28.878	29.981
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	0.897	2.000
$\mathbb{E}[\text{total reverse payment}]$	88.312	91.855
$\mathbb{E}[C_{s1}]$	36.713	31.560
$\mathbb{E}[C_{s2}]$	7.868	10.446
$\mathbb{E}[V^B]$	2240.348	2250.655
$\mathbb{E}[V_{\text{FTF}}^G]$	48.923	53.475
$\mathbb{E}[V_{\text{LTF}}^G]$	17.481	16.679
$V_{\text{entry}}^{\text{PIV}}$	15.741	15.991
1st gen entry date (settle)	26.957	26.957
1st gen entry date (litig.)	24.100	24.100

Table 48: Exclusivity premium for winning in court, Market 6

statistic	excl 0/2	excl 2/2
K^* (PIV filers)	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	26.857	27.309
$\mathbb{E}[t_s^{\text{LTF}}]$	28.884	29.983
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	1.585	2.000
$\mathbb{E}[\text{total reverse payment}]$	83.925	91.633
$\mathbb{E}[C_{s1}]$	29.346	31.107
$\mathbb{E}[C_{s2}]$	9.033	10.972
$\mathbb{E}[V^B]$	2097.269	2110.021
$\mathbb{E}[V_{\text{FTF}}^G]$	46.408	48.371
$\mathbb{E}[V_{\text{LTF}}^G]$	15.615	15.733
$V_{\text{entry}}^{\text{PIV}}$	14.381	14.758
1st gen entry date (settle)	26.857	27.309
1st gen entry date (litig.)	24.100	24.100

Table 49: Exclusivity premium for winning in court, Market 7

statistic	excl 0/2	excl 2/2
K^* (PIV filers)	7	7
$\mathbb{E}[t_s^{\text{FTF}}]$	26.517	26.969
$\mathbb{E}[t_s^{\text{LTF}}]$	28.884	29.983
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	1.585	2.000
$\mathbb{E}[\text{total reverse payment}]$	71.278	78.876
$\mathbb{E}[C_{s1}]$	27.040	28.758
$\mathbb{E}[C_{s2}]$	8.706	10.616
$\mathbb{E}[V^B]$	1996.070	2007.944
$\mathbb{E}[V_{\text{FTF}}^G]$	46.084	47.946
$\mathbb{E}[V_{\text{LTF}}^G]$	15.947	16.051
$V_{\text{entry}}^{\text{PIV}}$	14.797	15.150
1st gen entry date (settle)	26.517	26.969
1st gen entry date (litig.)	24.100	24.100

8 No-AG commitment

Table 50: No-AG commitment, Market 1

statistic	unconditional AG release	no-AG commitment
K^* (PIV filers)	7	8
$\mathbb{E}[t_s^{\text{FTF}}]$	27.969	27.958
$\mathbb{E}[t_s^{\text{LTF}}]$	30.983	30.983
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	157.709	138.727
$\mathbb{E}[C_{s1}]$	49.768	36.654
$\mathbb{E}[C_{s2}]$	20.718	19.440
$\mathbb{E}[V^B]$	3617.806	3613.390
$\mathbb{E}[V_{\text{FTF}}^G]$	56.425	57.084
$\mathbb{E}[V_{\text{LTF}}^G]$	14.225	11.513
$V_{\text{entry}}^{\text{PIV}}$	15.003	12.289
1st gen entry date (settle)	27.969	27.958
1st gen entry date (litig.)	24.100	24.100

Table 51: No-AG commitment, Market 2

statistic	unconditional AG release	no-AG commitment
K^* (PIV filers)	6	7
$\mathbb{E}[t_s^{\text{FTF}}]$	27.924	27.914
$\mathbb{E}[t_s^{\text{LTF}}]$	30.893	30.900
$\mathbb{E}[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$\mathbb{E}[\text{total reverse payment}]$	123.416	105.314
$\mathbb{E}[C_{s1}]$	41.200	29.187
$\mathbb{E}[C_{s2}]$	19.420	17.661
$\mathbb{E}[V^B]$	2640.975	2637.661
$\mathbb{E}[V_{\text{FTF}}^G]$	52.080	50.046
$\mathbb{E}[V_{\text{LTF}}^G]$	20.204	17.214
$V_{\text{entry}}^{\text{PIV}}$	18.458	15.237
1st gen entry date (settle)	27.924	27.914
1st gen entry date (litig.)	24.100	24.100

Table 52: No-AG commitment, Market 3

statistic	unconditional AG release	no-AG commitment
K^* (PIV filers)	6	7
$E[t_s^{\text{FTF}}]$	27.924	27.914
$E[t_s^{\text{LTF}}]$	30.893	30.900
$E[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$E[\text{total reverse payment}]$	116.900	100.205
$E[C_{s1}]$	39.100	27.793
$E[C_{s2}]$	18.352	16.736
$E[V^B]$	2452.428	2449.564
$E[V_{\text{FTF}}^G]$	48.504	46.362
$E[V_{\text{LTF}}^G]$	18.407	15.552
$V_{\text{entry}}^{\text{PIV}}$	16.889	13.802
1st gen entry date (settle)	27.924	27.914
1st gen entry date (litig.)	24.100	24.100

Table 53: No-AG commitment, Market 4

statistic	unconditional AG release	no-AG commitment
K^* (PIV filers)	6	6
$E[t_s^{\text{FTF}}]$	27.924	27.932
$E[t_s^{\text{LTF}}]$	30.893	30.905
$E[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$E[\text{total reverse payment}]$	114.969	92.460
$E[C_{s1}]$	38.730	27.408
$E[C_{s2}]$	18.032	19.370
$E[V^B]$	2438.118	2450.230
$E[V_{\text{FTF}}^G]$	45.539	52.582
$E[V_{\text{LTF}}^G]$	15.864	24.646
$V_{\text{entry}}^{\text{PIV}}$	14.882	20.081
1st gen entry date (settle)	27.924	27.932
1st gen entry date (litig.)	24.100	24.100

Table 54: No-AG commitment, Market 5

statistic	unconditional AG release	no-AG commitment
K^* (PIV filers)	8	8
$E[t_s^{\text{FTF}}]$	26.958	26.958
$E[t_s^{\text{LTF}}]$	29.983	29.983
$E[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$E[\text{total reverse payment}]$	92.126	72.641
$E[C_{s1}]$	33.145	23.404
$E[C_{s2}]$	9.797	10.449
$E[V^B]$	2277.220	2271.443
$E[V_{\text{FTF}}^G]$	43.658	46.839
$E[V_{\text{LTF}}^G]$	12.221	16.680
$V_{\text{entry}}^{\text{PIV}}$	12.038	14.480
1st gen entry date (settle)	26.958	26.958
1st gen entry date (litig.)	24.100	24.100

Table 55: No-AG commitment, Market 6

statistic	unconditional AG release	no-AG commitment
K^* (PIV filers)	6	7
$E[t_s^{\text{FTF}}]$	27.924	27.310
$E[t_s^{\text{LTF}}]$	30.892	29.985
$E[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$E[\text{total reverse payment}]$	106.246	72.935
$E[C_{s1}]$	35.490	23.424
$E[C_{s2}]$	16.618	10.976
$E[V^B]$	2134.445	2130.189
$E[V_{\text{FTF}}^G]$	43.832	42.118
$E[V_{\text{LTF}}^G]$	16.684	15.734
$V_{\text{entry}}^{\text{PIV}}$	15.270	13.144
1st gen entry date (settle)	27.924	27.310
1st gen entry date (litig.)	24.100	24.100

Table 56: No-AG commitment, Market 7

statistic	unconditional AG release	no-AG commitment
K^* (PIV filers)	6	7
$E[t_s^{\text{FTF}}]$	27.924	27.310
$E[t_s^{\text{LTF}}]$	30.892	29.985
$E[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$E[\text{total reverse payment}]$	103.260	70.735
$E[C_{s1}]$	34.376	22.641
$E[C_{s2}]$	16.137	10.620
$E[V^B]$	2034.800	2030.393
$E[V_{\text{FTF}}^G]$	43.205	41.387
$E[V_{\text{LTF}}^G]$	16.923	16.052
$V_{\text{entry}}^{\text{PIV}}$	15.374	13.303
1st gen entry date (settle)	27.924	27.310
1st gen entry date (litig.)	24.100	24.100

9 No-AG commitment, market structure fixed

Table 57: No-AG commitment, market structure fixed, Market 1

statistic	unconditional AG release	no-AG commitment
K^* (PIV filers)	7	7
$E[t_s^{\text{FTF}}]$	27.969	27.970
$E[t_s^{\text{LTF}}]$	30.983	30.985
$E[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$E[\text{total reverse payment}]$	157.709	130.784
$E[C_{s1}]$	49.768	36.172
$E[C_{s2}]$	20.718	22.231
$E[V^B]$	3617.806	3623.077
$E[V_{\text{FTF}}^G]$	56.425	66.175
$E[V_{\text{LTF}}^G]$	14.225	23.054
$V_{\text{entry}}^{\text{PIV}}$	15.003	20.720
1st gen entry date (settle)	27.969	27.970
1st gen entry date (litig.)	24.100	24.100

Table 58: No-AG commitment, market structure fixed, Market 2

statistic	unconditional AG release	no-AG commitment
K^* (PIV filers)	7	7
$E[t_s^{\text{FTF}}]$	27.914	27.914
$E[t_s^{\text{LTF}}]$	30.900	30.900
$E[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$E[\text{total reverse payment}]$	126.772	105.314
$E[C_{s1}]$	39.987	29.187
$E[C_{s2}]$	16.552	17.661
$E[V^B]$	2632.263	2637.661
$E[V_{\text{FTF}}^G]$	44.100	50.046
$E[V_{\text{LTF}}^G]$	10.605	17.214
$V_{\text{entry}}^{\text{PIV}}$	11.259	15.237
1st gen entry date (settle)	27.914	27.914
1st gen entry date (litig.)	24.100	24.100

Table 59: No-AG commitment, market structure fixed, Market 3

statistic	unconditional AG release	no-AG commitment
K^* (PIV filers)	7	7
$E[t_s^{\text{FTF}}]$	27.905	27.914
$E[t_s^{\text{LTF}}]$	30.886	30.900
$E[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$E[\text{total reverse payment}]$	120.053	100.205
$E[C_{s1}]$	37.880	27.793
$E[C_{s2}]$	15.671	16.736
$E[V^B]$	2443.849	2449.564
$E[V_{\text{FTF}}^G]$	41.055	46.362
$E[V_{\text{LTF}}^G]$	9.400	15.552
$V_{\text{entry}}^{\text{PIV}}$	10.152	13.802
1st gen entry date (settle)	27.905	27.914
1st gen entry date (litig.)	24.100	24.100

Table 60: No-AG commitment, market structure fixed, Market 4

statistic	unconditional AG release	no-AG commitment
K^* (PIV filers)	7	7
$E[t_s^{\text{FTF}}]$	27.905	27.914
$E[t_s^{\text{LTF}}]$	30.886	30.900
$E[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$E[\text{total reverse payment}]$	117.889	98.839
$E[C_{s1}]$	37.547	27.872
$E[C_{s2}]$	15.361	16.375
$E[V^B]$	2429.862	2437.614
$E[V_{\text{FTF}}^G]$	38.228	43.709
$E[V_{\text{LTF}}^G]$	6.971	12.996
$V_{\text{entry}}^{\text{PIV}}$	8.240	11.870
1st gen entry date (settle)	27.905	27.914
1st gen entry date (litig.)	24.100	24.100

Table 61: No-AG commitment, market structure fixed, Market 5

statistic	unconditional AG release	no-AG commitment
K^* (PIV filers)	7	7
$E[t_s^{\text{FTF}}]$	27.309	27.310
$E[t_s^{\text{LTF}}]$	29.983	29.985
$E[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$E[\text{total reverse payment}]$	101.135	78.686
$E[C_{s1}]$	34.834	23.924
$E[C_{s2}]$	11.413	12.274
$E[V^B]$	2281.839	2281.281
$E[V_{\text{FTF}}^G]$	48.040	52.207
$E[V_{\text{LTF}}^G]$	18.073	24.391
$V_{\text{entry}}^{\text{PIV}}$	16.252	19.727
1st gen entry date (settle)	27.309	27.310
1st gen entry date (litig.)	24.100	24.100

Table 62: No-AG commitment, market structure fixed, Market 6

statistic	unconditional AG release	no-AG commitment
K^* (PIV filers)	7	7
$E[t_s^{\text{FTF}}]$	27.707	27.310
$E[t_s^{\text{LTF}}]$	30.585	29.985
$E[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$E[\text{total reverse payment}]$	104.155	72.935
$E[C_{s1}]$	33.560	23.424
$E[C_{s2}]$	13.118	10.976
$E[V^B]$	2125.436	2130.189
$E[V_{\text{FTF}}^G]$	37.434	42.118
$E[V_{\text{LTF}}^G]$	9.116	15.734
$V_{\text{entry}}^{\text{PIV}}$	9.485	13.144
1st gen entry date (settle)	27.707	27.310
1st gen entry date (litig.)	24.100	24.100

Table 63: No-AG commitment, market structure fixed, Market 7

statistic	unconditional AG release	no-AG commitment
K^* (PIV filers)	7	7
$E[t_s^{\text{FTF}}]$	27.309	27.310
$E[t_s^{\text{LTF}}]$	29.983	29.985
$E[t_s^{\text{LTF}} - t_s^{\text{FTF}}]$	2.000	2.000
$E[\text{total reverse payment}]$	89.342	70.735
$E[C_{s1}]$	31.673	22.641
$E[C_{s2}]$	9.928	10.620
$E[V^B]$	2026.002	2030.393
$E[V_{\text{FTF}}^G]$	37.430	41.387
$E[V_{\text{LTF}}^G]$	10.632	16.052
$V_{\text{entry}}^{\text{PIV}}$	10.254	13.303
1st gen entry date (settle)	27.309	27.310
1st gen entry date (litig.)	24.100	24.100

10 Effect of antitrust scrutiny on patent-strength premium

Table 64: Effect of antitrust scrutiny on patent-strength premium, Market 1

Regime	V^B (weak patent)	V^B (strong patent)	Strength premium	K^* (weak)	K^* (strong)
Baseline	2910.357	3640.386	730.030	7	7
Ban on transfers	2941.713	3703.598	761.885	7	6

Table 65: Effect of antitrust scrutiny on patent-strength premium, Market 2

Regime	V^B (weak patent)	V^B (strong patent)	Strength premium	K^* (weak)	K^* (strong)
Baseline	2103.561	2661.214	557.653	7	6
Ban on transfers	2218.615	2717.654	499.038	6	5

Table 66: Effect of antitrust scrutiny on patent-strength premium, Market 3

Regime	V^B (weak patent)	V^B (strong patent)	Strength premium	K^* (weak)	K^* (strong)
Baseline	1951.157	2471.053	519.896	7	6
Ban on transfers	2061.628	2526.043	464.415	6	5

Table 67: Effect of antitrust scrutiny on patent-strength premium, Market 4

Regime	V^B (weak patent)	V^B (strong patent)	Strength premium	K^* (weak)	K^* (strong)
Baseline	1961.663	2456.838	495.175	6	6
Ban on transfers	1986.659	2509.446	522.786	6	5

Table 68: Effect of antitrust scrutiny on patent-strength premium, Market 5

Regime	V^B (weak patent)	V^B (strong patent)	Strength premium	K^* (weak)	K^* (strong)
Baseline	1813.090	2296.529	483.439	8	7
Ban on transfers	1908.695	2348.701	440.006	7	6

Table 69: Effect of antitrust scrutiny on patent-strength premium, Market 6

Regime	V^B (weak patent)	V^B (strong patent)	Strength premium	K^* (weak)	K^* (strong)
Baseline	1691.398	2150.259	458.861	7	6
Ban on transfers	1755.030	2203.657	448.627	6	5

Table 70: Effect of antitrust scrutiny on patent-strength premium, Market 7

Regime	V^B (weak patent)	V^B (strong patent)	Strength premium	K^* (weak)	K^* (strong)
Baseline	1611.759	2047.400	435.642	7	6
Ban on transfers	1675.583	2103.191	427.608	6	5